

“Like I said, buyer beware.”

The company that owned the machine set the fees, not the store. I should have known that. I looked at Trevor, who seemed totally dumbfounded. I was upset about the loss of \$50 to a stupid machine, but I was glad of one thing: My son had learned an important lesson about reading the fine print, and so had I!

Call me cheap, but I thought about that lost money for two days. Since that fiasco, Trevor and I have accumulated another big bowl of money, and guess what we did with it the second time? We went to Staples, bought an inexpensive coin-rolling kit, and did everything ourselves. Luckily, I love money, so I find the whole exercise relaxing.

Test Your Child's Money Smarts

I have a wealthy friend who's conducting an interesting experiment. He has decided to give each of his kids their inheritance, a quarter of a million dollars, when they turn eighteen. But that's it. That's the only money they'll ever receive from him. It's his way of transferring wealth early to kids who are going to receive the money eventually. But he's doing it now, because he believes that if his children are bad with money, if they squander it, it's better to know that sooner rather than later. And it's how he hopes they'll learn how to manage, invest, and budget effectively.

My jury's out on his method, but I do agree that you should make it a point to watch how your children and teens handle money. Here's a Q&A that will help you get a handle on your child's financial habits so you can help correct the bad ones.

- 1. If you send your child to buy something with your money, does he or she automatically give you the change, or do you have to ask for it?**

This is a revealing transaction. When my wife gives my son cab fare to return from a party, her hand is out the minute he arrives home. If there's change, it goes back in her wallet. She considers that cab trip on her, if she can't pick him up herself.